

MMPC-017 ADVANCED STRATEGIC MANAGEMENT



“शिक्षा मानव को बन्धनों से मुक्त करती है और आज के युग में तो यह लोकतंत्र की भावना का आधार भी है। जन्म तथा अन्य कारणों से उत्पन्न जाति एवं वर्तमान विषमताओं को दूर करते हुए मनुष्य को इन सबसे ऊपर उठाती है।”

— इन्दिरा गांधी



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“Education is a liberating force, and in our age it is also a democratising force, cutting across the barriers of caste and class, smoothing out inequalities imposed by birth and other circumstances.”

— Indira Gandhi

MMPC – 017
Advanced Strategic
Management**BLOCK 1****Introduction to Corporate Management** **7**

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MMPC-017: ADVANCED STRATEGIC MANAGEMENT

This is an advanced course in strategic management. The main goal of the course is to expand the understanding of the key theories and frameworks in strategic management and to give them practical examples to construct a company's strategy. The fundamental theories of strategic management continue to influence how we think about strategy, but the field of strategic management also helps in keeping us abreast with globalised, complicated, and fast-paced world. Therefore, this course offers a thorough understanding of both the current theories that are applicable in an increasingly fast-paced corporate environment, as well as the timeless core concepts of strategic management that continue to hold true across a variety of scenarios. Developing a solid understanding of these fundamental strategies and frameworks will lay the groundwork for more than just developing strategies for the learners.

The learning objectives of this course are to understand the:

- abilities, and attitudes in strategic management ;
- corporate level growth strategies;
- the international strategies including strategic risk management;
- concept of knowledge management;
- role of innovation in strategic management.

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BLOCK – 1
**INTRODUCTION TO CORPORATE
MANAGEMENT**

BLOCK 1 INTRODUCTION TO CORPORATE MANAGEMENT

This block discusses corporate management which includes an overview of corporate planning. The concept of corporate planning, the various steps in the corporate planning process and the benefits and prerequisites of corporate planning are discussed. It also explains the concept and features of corporate policy. The scope, need for corporate policy and the various steps involved in formulation of corporate policy are also dealt with. Finally it discusses the various types of corporate policies and the role and significance of corporate policy in corporate management. This block has following **two units**:

Unit -1: Corporate Management: An Overview

Unit -2: Corporate Policy



UNIT 1 CORPORATE MANAGEMENT: AN OVERVIEW

Objectives

After reading this unit, you should be able to:

- explain the nature and scope of corporate management;
- describe the concept, nature, process, benefits and pre requisites of corporate planning;
- appreciate the importance of implementation and evaluation aspects of corporate plan;
- compare distinct approaches to corporate management;
- assess the role of various strategists in corporate management;
- identify factors leading to the need of corporate management; and
- state the differences in corporate management practices adopted by non business organizations.

Structure

- 1.1 Introduction
- 1.2 Nature and Scope of Corporate Management
- 1.3 Corporate Planning
- 1.4 Implementation of Corporate Plan
- 1.5 Review and Evaluation of Corporate Plan
- 1.6 Approaches to Corporate Management
- 1.7 Strategists and their role in Corporate Management
- 1.8 Need for Corporate Management
- 1.9 Corporate Management in Non Business Organisations
- 1.10 Summary
- 1.11 Key Words
- 1.12 Self-Assessment Questions
- 1.13 References / Further Readings

1.1 INTRODUCTION

Though corporate planning has been widely used in the United States and some other European Countries for the last thirty five years or so, there seems to be scant use of the term “Corporate Management”. Corporate management is a broad phenomenon and covers a wide spectrum of activities. In the context of strategic management, the term has three dimensions:

- Corporate planning
- Implementation of corporate plans
- Evaluation and control of corporate plans.

On the academic side, research on corporate management has not taken off in India. However, a few studies may be seen with respect to corporate planning.

1.2 NATURE AND SCOPE OF CORPORATE MANAGEMENT

For the sake of convenience, the concept of corporate management has moved through five paradigm shifts as narrated below:

Adhocism- when the exigency used to force the managers to take appropriate action to deal with situation. This continued till 1930.

Planned Policy- the great depression forced the planners and thinkers to have a planned policy. Unforeseen incidents and contingencies are to be anticipated.

Environment Strategy Interface- the strategy has to cope with environment. The forces of internal and external environment have created uncertainties. In order to cope with such situation, appropriate strategies are being formulated keeping in mind the competitive advantage.

Corporate Planning- involves moving ahead from environmental appraisal to strategic alternatives and choice. The planning needs to be strategic.

Corporate Management- aspects of implementation and control are also considered in corporate planning process. It is a unified and integrated process to get best results.

Nature of Corporate Management

The following aspects are important in this regard:

- (i) It encompasses the entire management process.
- (ii) It is concerned with the choice of alternatives, determination of future course of action, mobilization of resources and deployment of resources for attainment of goals.
- (iii) It is both short term and long term.
- (iv) It is related to all levels of management. Strategic issues, however, are related to top management.
- (v) It includes the following phrases:
 - Corporate Planning
 - Implementation Issues in Corporate Plan
 - Evaluation and Control
- (vi) It is concerned with coping uncertain future with active intervention.
- (vii) It is based on various types of plan viz., strategic plan, functional plan, operating plan, organizational plan, etc.
- (viii) It is all pervasive and integrative.

Scope of Corporate Management

The term corporate management is an extension of the term corporate planning and also includes implementation and control aspects. More

specifically, the scope of corporate management is narrated as below: spread over different areas. They are as follows :

- (i) Role of top management in corporate governance.
- (ii) Code of conduct including audit committee, governance committee etc.
- (iii) Competitive scenario for domestic and global markets.
- (iv) Competitive scenario for dynamic and global markets.
- (v) Market structures and net work externalities.
- (vi) Strategic enablers like IT, R&D, knowledge management and innovations, etc.
- (vii) Corporate social responsibility including ethics, values and social audit.
- (viii) Philanthropy as a strategic choice.

Activity 1

- (i) Discuss the nature of corporate management in Indian context.

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- (ii) Discuss the scope of corporate management.

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1.3 CORPORATE PLANNING

Corporate planning is a comprehensive planning process which involves continued formulation of objectives and the guidance of affairs towards their attainment. It is undertaken by top management for the company as a whole on a continuous basis.

Druker defines corporate planning as “a continuous process of making entrepreneurial decisions systematically, and with the best possible knowledge of their futurity, organizing systematically the efforts needed to carry out these decisions, and measuring the results against expectations through organized systematic feedback.

This definition clearly emphasises the relation of corporate planning to strategy.

According to Hussey “Corporate long range planning is not a technique, it is a complete way of running a business. Corporate planning is a way of keeping the company’s eyes open.

The following are the **essentials** of corporate planning.

- (i) Corporate planning deals with the future of current decisions.
- (ii) The process of corporate planning integrates strategic planning with short range operational plans.
- (iii) A few authorities use comprehensive corporate planning, strategic planning, long range planning, formal planning, corporate planning etc. as synonymous to each other.
- (iv) Corporate planning is viewed as an organizational process resulting in developing strategic intent and action plans to achieve the objectives.

The **object** of corporate planning is to identify new areas of investment and marketing.

The **purpose** of corporate planning process is to formulate the organization's purpose, mission, objectives, goals, policies, programme strategies and major action plans to achieve its objectives.

The **corporate planning process** involves the following steps:

- (i) Formulation of strategic intent.
- (ii) Environmental appraisal
- (iii) Generation of strategic alternatives.
- (iv) Evaluation of alternatives.
- (v) Decisions in terms of strategy, policies and programmes.

There are many advantages of corporate planning.

The following are the **benefits** of corporate planning:

- (i) It ensures a rational allocation of resources and improves coordination between various units or divisions.
- (ii) With corporate planning, significant improvement in performance is reflected. In US, the percentage improvement in performance was 30-40 percent.
- (iii) A formal planning system can help the management in responding to a dynamic environment and in managing a strategically complex organization with limited resources.
- (iv) With corporate planning, a sense of making a systematic and critical review of business is developed.
- (v) This develops a visionary approach. A habit of forward thinking is encouraged in forward planning.

In India the organizations' corporate planning process could not succeed.

The following can be the **reasons attributed to the failure** of corporate planning in Indian organizations:

- (i) Failure to keep the corporate planning system simple.
- (ii) Failure to develop awareness about corporate planning process in the organization.
- (iii) Corporate planning tries to do all planning itself.
- (iv) Chief executive gives planner a low status.

- (v) Failure to modify the corporate planning system with the changing conditions in the company.
- (vi) Planner has only a part time interest in planning.
- (vii) There is conflict between available soft database and manager's need for hard answers.
- (viii) Top management becomes so engrossed in current problems that it spends insufficient time on the corporate planning process.

Bhattacharya and Chakravarti have observed some commonalities in instances of successful introduction of corporate planning in Indian companies. A few **prerequisites** for success in corporate planning are as follows:

- (i) The chief executive must be **totally committed and involved** in the corporate planning process.
- (ii) **Participation** of those executives who would be responsible for implementation must be ensured.
- (iii) The process of corporate planning should be introduced on **continuous basis** to cope with ever changing environmental factors.
- (iv) The executives must understand that the real purpose of corporate planning is to **provide direction** to the organization.

Activity 2

- 1) Discuss the nature and process of corporate planning.
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- 2) Name three to four big companies where corporate planning exercise was initiated in recent years.
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- 3) Briefly the mention reasons of failure of corporate planning.
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1.4 IMPLEMENTATION OF CORPORATE PLAN

Implementation refers to those objectives which are necessary for achieving the plans already formulated. Quite often, companies having good corporate plans are not successful at market place. The planning commission in India

has formulated elaborate plans for poverty alleviation through a number of programmes but it is a well known fact that the achievements in terms of the original goals are far from the targets. It is to be noted that the implementation of strategy is mainly an administrative task based on strategic as well as operational decision making. This activity primarily refers to action and doing. The task of strategy formulation is some what distinct. It is primarily an entrepreneurial activity and this managerial task requires analysis and thinking.

Implementation of corporate strategy requires the analysis of the following aspects:

- Project Implementation
- Procedural Implementation
- Resource Allocation
- Structural Implementation
- Behavioral Implementation
- Functional Implementation

Any organization which is planning to implement strategies must be aware of the procedural framework within which the plans, programmes and projects have to be approved by government agencies. The regulatory mechanisms for trade, commerce and industry in India span the whole range of legal structure from the constitution of India, the Directive Principles of state policy to the rules and procedures imposed by the implementing authorities at the local level. The requirements of licensing SEB, MRTP, foreign collaboration, labour laws, environmental protection laws, etc. are to be seen carefully. The **resource allocation for budget** be based on either of the following methods:

- Strategic Budgeting
- Zero Base Budgeting
- PLC Based Budgeting
- BCG Budgeting

The **total responsibilities** to implement strategies (structural implementation) have to be subdivided as follows:

- (i) Defining the major tasks required to implement a strategy.
- (ii) Grouping task on the basis of common skill requirements.
- (iii) Sub-division of responsibility and delegation of authority to perform tasks.
- (iv) Coordination of divided responsibility.
- (v) Design and administration of the information system.
- (vi) Design and administration of the control and appraisal system.
- (vii) Design and administration of the motivation and development system.
- (viii) Design and administration of the planning system.

The first four mechanisms will lead to the creation of the structure. The remaining mechanisms are devised to hold and sustain the structure.

The aspects of strategy implementation that have an impact on the behaviour of strategies in implementing the chosen strategies are related to **behavioral implementation**. In this regard, the following issues are important:

- Leadership
- Corporate Culture
- Corporate politics and use of power
- Personal values and Business ethics
- Social Responsibility

Rather than letting strategy implementation suffer due to politics and power games within organizations, strategists have to learn to use them to implement strategies.

Functional implementation is carried out through functional plan and policies in five different functional areas. Operational implementation is performed in four areas for operational effectiveness. The areas are productivity, process, people and pace. The productivity is the measure of the relative amount of input needed to secure a given amount of output. Pace is the speed of operational implementation and is measured in terms of time. Efficiency is the parameter often used to express the pace of operational implementation.

1.5 REVIEW AND EVALUATION OF CORPORATE PLAN

Corporate planning cannot said to be effective unless management monitor how well the planned actions are matching actual achievements as implementation programmes. If they find that the actual performance does not conform to the planned performance, corrective action is taken to enforce a strategy that is not being followed or modify corporate plan that is not working. Strategic evaluation operates at two levels.

- Strategic Level
- Operational Level

The idea of strategic control is of a relatively recent origin and its techniques are still in an embryonic stage. Four types of strategic controls are premise, implementation, strategic surveillance and special alert control. Operational control consists of setting standards, measuring performance, analysing variance and taking corrective actions. MBO, network technologies, balanced scorecard, key factor rating, bench marking, value chain analysis, systems modeling, responsibility control centers, etc. are the techniques of strategic evaluation and control.

The following aspects **differentiate strategic control with operational control**:

- (i) Strategic control is related to external environment while operational control is related to internal organization.

- (ii) Strategic control has longest time horizon.
- (iii) Control is exercised exclusively by top management in strategic control.
- (iv) Budget schedules and MBO are used in operational control.

1.6 APPROACHES TO CORPORATE MANAGEMENT

Corporate management systems vary from organization to organization depending on a variety of factors: environmental conditions, organizational size and complexity, age, top management values and styles. Variations in the corporate management systems across organizations may be found first in the top management's basic approach to carry on corporate planning. These approaches are as follows:

Top Down Approach- In this approach, the top management decides everything and the implementation is being taken care of by the middle and lower level management as instructed by top management.

Bottom Up Approach- This approach takes into account the realities and complexities of operations at the ground level. The top management adopts an open door approach. Suggestions are invited from all levels.

Hybrid Approach- This is a combination of top down and bottom up approaches which is generally used in decentralized companies. There is vertical communication between top management and the Strategic-Business Units (SBUs) at different phases of the corporate planning and implementation process.

Team Approach- Where lateral communication between the top managers is easier. The chief executive may himself in collaboration with senior managers, prepare corporate plans.

Activity 3

- 1) What are the methods of resource allocation?
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- 2) Explain Hybrid approach and team approach in corporate management.
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- 3) Distinguish between strategic control and operational control.
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1.7 STRATEGISTS AND THEIR ROLE IN CORPORATE MANAGEMENT

Strategists are individuals or groups who are primarily involved in the formulation, implementation and evaluation of strategy. There are persons outside the organization who are also involved in various aspects of corporate management. In this section, we shall assess their role in corporate management:

Board of Directors

The role of the board of directors has come under intense scrutiny in recent times leading to the emergence of the issue of corporate governance. It relates to the functioning of the board of company and the conducting of the business internally and externally. The composition of Board of Directors in some of the organizations is narrated below:

State Bank of India	7. Whole time Directors
	4. Part time Directors
	6. Nominee Directors
Larson & Toubro Ltd.	6. Whole time Directors
	11. Part time Directors
TISCO	2. Nominee Directors
	2. Whole Time Directors
	9. Part Time Directors
Reliance Industries Ltd.	5. Whole time Directors
	4. Part time Directors
	2. Nominee Directors

The Companies Act, 1956 specified the following:

- (i) One-third of directors will retire by rotation.
- (ii) A public limited company must have at least three directors and a private limited company must have at least two directors.
- (iii) Only individuals and not the institution can be appointed as directors.

The role of the board is to guide the senior management in setting and accomplishing objectives, reviewing and evaluating organizational performance and appointing senior executives.

Chief Executive Officer

The CEO is designated as the managing director, executive director, president or general manager in business organization. As the chief strategist, the CEO plays a major role in strategic decision making with the increase in size. Many companies have adopted the practice of sharing the responsibility of chief executive among two or more persons. In India, Reliance Industries has chairman, vice- chairman and managing directors

while L&T has managing director and joint managing directors. ITC Ltd. has a multiple executive system in the form of corporate management committee. Attributes like self management and time management are very important for CEOs.

Entrepreneurs

The entrepreneurs always search for change, respond to it and exploit it as an opportunity. The entrepreneur is a venture capitalist. They play a proactive role in strategic management. As initiators, they provide a sense of direction to all concerned. S. Kumar Sundram as the chairman of the Bank of Madurai Ltd., and after his death in 1986, the new chairman S.V. Shanmugavadivelu provide an excellent example of the role of entrepreneurs as strategists.

SBU Level Executives

In corporate management, SBU level strategy formulation and implementation are the primary responsibilities of the SBU level executives. They act as divisional heads. They yield considerable authority within the SBU while maintaining coordination with other SBU heads and corporate level management.

Consultants

They assist the organizations in their corporate management process. Smaller organizations may take the benefit of consultants for improving their corporate governance. A.F. Ferguson, S.B. Billimoria, McKinsey Company, Anderson Consulting, etc. are the notable consultants. Boston Consulting helps in building competitive advantage while KPMG Peat Marwick assists in strategic financial management and feasibility studies.

1.8 NEED FOR CORPORATE MANAGEMENT

The following factors have forced the strategists to look into issues of corporate management:

- (i) Scarcity of Resources
- (ii) Fast Technological Changes.
- (iii) Changing Human Values
- (iv) Multiplicity of Stake holders.
- (v) Growing Competition
- (vi) Liberalization, Privatization and Globalization
- (vii) Growing scale of business operations
- (viii) Faster and Quicker Modes of Transportation and Communication
- (ix) Professionalisation in Management

1.9 CORPORATE MANAGEMENT IN NON BUSINESS ORGANIZATIONS

The basic objective of non-business organizations is to provide service to the people who come in contact with these organizations. Unlike the business organizations which are characterized by profit motive, risk bearing and creation of utilities, non business organizations provide service

to the clients. Measurement of the effectiveness of these services is highly qualitative and therefore judgmental. The following are the specific areas where corporate management issues are to be taken with greater care:

- (i) Non business organizations are not interested in attracting large number of clients. Such organizations do not go for rigorous environmental analysis.
- (ii) Non- business organizations have larger number of interest groups. In this environment, the corporate management process becomes more political. The decision outcomes may not be as service oriented as is usually conceived.
- (iii) Non business organizations seldom go through the rigour of strategic management process. They get their resources from the public. They operate on the basis of non focused strategic actions.
- iv) The performance evaluation criteria in case of non-business organizations is highly qualitative and therefore judgmental.

Activity 4

- i) Critically evaluate the role of Board of Directors in corporate management.

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- (ii) State three important factors forcing the immediate need of corporate management.

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1.10 SUMMARY

Corporate management is a broad phenomenon and covers the activities of corporate planning, implementation of corporate plans, evaluation and control of corporate plans. The concept of corporate management has moved through the stages of adhocism, planned policy, environment strategy interface and corporate planning. Corporate management has the following broad characteristics.

- encompassing entire management process
- short term as well as long term
- all pervasive, integrative and relates to all levels of management
- concerned with coping uncertain future with active intervention.

Corporate planning is a way of keeping the company's eyes open. It is a comprehensive planning process which involves continued formulation of objectives and the guidance of affairs towards their attainment. This process

is continuous and is carried on by top management. The process involves the following steps:

- Formulation of strategic intent
- Environmental appraisal
- Generation of strategic alternatives
- Evaluation of alternatives
- Decision in terms of corporate plan

In India, corporate planning could not bring desired results. Factors like poor participation, complicated process, part time interest, domination of routine issues bring bottlenecks to effectiveness in corporate planning process.

Implementation refers to those activities which are necessary for achieving the plans already formulated. This administrative task is based on action and decision making. The issues like project, procedure, structure, resource allocation, behavior and managerial functions need special attention.

Review and evaluation of corporate plan operate at two levels i.e. strategic control and operational control. Budgets, schedules and MBO are used in operational control. Four types of strategic control are premise, implementation, strategic surveillance and special alert control.

Variations in the corporate management systems may be top down approach, bottom up approach, hybrid approach and team approach. Board of Directors, Chief Executive officer, Entrepreneurs, SBU level executives and consultants play an important role in corporate management process. Scarcities of resources, fast technological changes, LPG, changing human values etc. are forcing the strategists to push the case of effective corporate management. Non business organizations have to adopt a distinct corporate management process to cope up with the changes in the emerging environment.

1.11 KEY WORDS

Corporate Management: It includes corporate planning, implementation and evaluation.

Corporate Planning: is a continuous process of making entrepreneurial decisions systematically and with the best possible knowledge of their future, organizing systematically the effort needed to carry out these decisions.

Implementation: refers to those activities which are necessary for achieving the plans already formulated.

Strategic Control: is aimed at a continuous assessment of the changing environment to see that the strategy is not out of line with it.

Operational Control: is directed towards the evaluation of real time action.

Hybrid Approach: A combination of top down and bottom up approach of corporate management.

1.12 SELF- ASSESSMENT QUESTIONS

1. What is corporate planning and what are its important characteristics?
2. “Corporate planning is as good as its implementation” Discuss.
3. What is corporate management? Discuss its nature and scope.
4. Explain the benefits and failures of corporate planning.
5. Narrate corporate planning process in brief. Also state the benefits of corporate planning.
6. Explain various types of implementation issues in brief.
7. What is behavioral implementation? Explain it with the help of the details of a company.
8. What is strategic control? How is it different from operational control?
9. Narrate briefly the approaches to the corporate management. Which one is the best in Indian environment?
10. Critically evaluate the role of board of directors in corporate management process.
11. Write a note on corporate management in non- business organizations.
12. Write notes on the following:
 - a. Procedural implementation
 - b. Role of consultants in corporate management
 - c. Approaches to corporate management.

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UNIT 2 CORPORATE POLICY

Objectives

After reading this unit, you should be able to:

- explain the concept of corporate policy and its features;
- list out the determinants of corporate policy;
- develop an understanding about the scope and need for corporate policy;
- explain the steps in formulation of policy;
- discuss the various types of corporate policy; and
- describe the significance of corporate policy.

Structure

- 2.1 Introduction
- 2.2 Concept and Meaning of Corporate Policy
- 2.3 Features of Corporate Policy
- 2.4 Determinants of Corporate Policy
- 2.5 Scope of Corporate Policy
- 2.6 Policy Formulation Process
- 2.7 Classification of Corporate Policy
- 2.8 Importance of Corporate Policy
- 2.9 Summary
- 2.10 Key Words
- 2.11 Self-Assessment Questions
- 2.12 References / Further Readings

2.1 INTRODUCTION

The organization sets the objectives and works towards their achievement. Once these objectives are defined and strategies determined, certain policies have to be made to put them into action. Corporate policies act as a guide to action. They provide the framework within which an organization has to meet its corporate objectives. The policy points out the direction in which the company ought to go. Some of the policy statements are-

“We promote employees on the basis of experience”

“We sell televisions only for cash”

In each of these statements, one could understand that there is a problem and the policies help as a guide for finding the solution.

Some policies are just broad guidelines while some can be more specific. According to Koontz and O'Donnell, “Policies are plans in that they are general statements of principles which guide the thinking, decision making and action in an organization.”

Policies aid in decision making and are the basis for procedures. They are responsibilities of top management. Policies are applied in long range planning and are directly related to goals. They are concerned with estimating availability of resources, their procurement their augmentation and their efficient utilization.

In this unit, we shall discuss the concept, features, scope and essentials of a policy. The classification of policies has also been discussed. In this era of competition and dynamic environment, the need and importance of policies has also been explained alongwith the formulation process.

2.2 CONCEPT AND MEANING OF CORPORATE POLICY

Corporate policy is the guide post to decision making. It helps in the managerial thinking process and thus leads to the efficient and effective attainment of the objectives of any organization.

Corporate policy has been defined as “Management’s expressed or implied intent to govern action in the pursuit of the company’s objectives.” Corporate policy clarifies the intention of management in dealing with the various problems faced. It gives the managers a transparent guideline to take their decisions by being on the safe side. Corporate policy helps the manager in identification of the solutions to the problem. It provides the framework in which he has to take the decisions. The distinct views regarding policies can be categorized into the following three broad groups:

- i) The first category holds the opinion that **policy and strategy are synonymous**. Corporate policy has been defined by William Glueck as “Management policy is long range planning. For all practical purposes, management policy, long range planning and strategic management mean the same thing.” However, this view is quite controversial as strategy and corporate policy do not mean the same thing. Strategy includes awareness of the mission, purpose and objectives. It has been defined as, “the determination of basic long term goals and objectives of an enterprise, and the allocation of resources necessary to carry out these goals”, while policies are statements or a commonly accepted understandings of decision making and are thought oriented guidelines. Therefore, strategy and corporate policy cannot be used interchangeably as there is a clear line of differentiation between the two terms.
- ii) The second group of experts views corporate policy as the **process of implementing strategy**. In the words of Frank I. Paine and William Naumes, “Policies guide and channel the implementation of strategy and prescribe how processes within the organization will function and be administered. Thus the term policy refers to organization procedures, practices and structures, concerned with implementing and executing strategy.”

Supporting this view, **Robert Mudric** has defined corporate policy as “A policy establishes guidelines and limits for discretionary action by individuals responsible for implementing the overall plan.”

The view represents corporate policy to be

- Restrictive
- Laying stress only on the tactical side and ignoring the strategic dimension.

iii) The third view considers corporate policy to be decisions regarding the future of an organization.

In this view, **Robert J. Mockler** defines corporate policy as, “Strategic guidelines for action. They spell out what can and what cannot be done in all areas of a company’s operation.”

According to the **policy manual of General Electric Company**, “Policy is definition of common purpose for organization components of the company for benefit of those responsible for implementation, exercise discretion and good judgment in appraising and deciding among alternative courses of action.”

These views of different management scholars differ because of following reasons:

- There is no clear differentiation of policy from other elements of planning.
- There are different policies made at different levels of management for directing executives.
- Corporate policy encompasses and relates to the entire process of planning.

Thus, corporate policy focusses on the guidelines used for decision making and putting them into actions. It consists of principles along with rules of action that provides for successful achievement of corporate objectives.

2.3 FEATURES OF CORPORATE POLICY

After understanding the concept of corporate policy, following features can be identified:

- **General Statement of Principles**

Policies are general statement of principles followed by corporate for the attainment of organizational objectives. These principles provide a guide to action for the executives at different levels.

- **Long Term Perspective**

Corporate policies have a long life and are formulated with a long term perspective. They provide stability to the organization.

- **Achievement of Objectives**

Corporate policy is aimed at the fulfillment of organizational objectives. They provide a framework for action and thus help the executives to work towards the set goals.

- **Qualitative, Conditional & General Statements**

Corporate policy statements are qualitative in nature. They are conditional and defined in general manner. These statements use

words as to maintain, to follow, to provide etc. They can be specific at times but most of the times, a corporate policy tends to be general.

- **Guide for Repetitive Operations**

Corporate policies are formulated to act as a guide for repetitive day to day operations. They are best as a guide for the activities that occur frequently or repeatedly.

- **Hierarchy**

Corporate policies have an hierarchy i.e. for each set of objectives at each level of management there is a set of policies. The top management determines the basic overall policy, then the divisional and / or departmental policies are determined by the middle level management and lower level policies are more specific and have a shorter time horizon than policies at higher levels.

- **Decision Making Process**

Corporate policy is a decision making process. In formulating corporate policy one has to make choices and the choice is influenced by the interests and attitudes of managers engaged in making the policies.

- **Mutual Application**

Corporate policies are meant for mutual application by subordinates. They are made for some specific situation and have to be applied by the members of the organization.

- **Unified Structure**

Corporate policies tend to provide predetermined issues and thus avoid repeated analysis. They provide a unified structure to other types of plans and help managers in delegating authority and having control over the activities.

- **Positive Declaration**

Corporate policy is a positive declaration and a command to its followers. It acts as a motivator for the people following it and thus they work towards the attainment of the objectives efficiently and effectively. The corporate policy lays down the values which dominate organization's actions.

2.4 DETERMINANTS OF CORPORATE POLICY

The corporate policy of an organization is influenced by various interrelated and interacting factors. These factors can be classified as internal and external factors. The determinants which are internal to the firm/organization and which influence the decisions directly are known as the internal factors. External factors include all those factors which act from outside the firm and influence the organization externally. We discuss these determinants one by one below:

INTERNAL DETERMINANTS

The determinants include the corporate mission, corporate objectives, corporate resources and the management values which are all internal to the

organization and play a very important role in the formulation of corporate policy.

(i) Corporate Policy

The policy maker has to understand the corporate mission, so that the policy is in tune with it. Corporate mission provides the company with the meaning for which it exists and operates. Because policy provides guidelines for managerial action, it has to be made in a manner that it accomplishes the corporate mission.

(ii) Corporate Objectives

Another internal determinant of corporate policy is the corporate objectives. All organizations frame organizational objectives and work towards their achievement. Policy makers must take into account the economic, financial and other objectives of the company.

(iii) The Resources

The organization has to carry out its activities keeping in mind the resources it has. The corporate policy has to identify the various resources available and then only can it be made sound. The size of plants, capital structure, liquidity position, personnel skills and expertise, competitive position, nature of product, etc. all help in the formulation of corporate policy.

(iv) Management Values

Corporate policy reflects the values imbibed in the organization. The personal values of the managers forming corporate policy influence its formulation. Management values differ from organization to organization. It is an important determinant of corporate policy.

EXTERNAL DETERMINANTS

These include the forces external to the firm. The external determinants of corporate policy are industry structure, economic environment, political environment, social environment and technology.

(i) Industry Structure

The formulation of corporate policy is influenced by the industry in which the firm exists. The structure of industry comprises of size of firms, the entry barriers, number of competitors, etc. The corporate policy is formulated keeping in mind competitors, strategies, policies etc.

(ii) Economic Environment

Economic environment comprises of the demand, supply, price trends, the national income, availability of inputs, the various institutions, etc. It includes all these factors which influence the policies of the firm. Therefore, it becomes one of the most important determinants of corporate policy.

(iii) Political Environment

The firm has to carry out its activities in accordance with the government regulations and policies. If these are not complied with the firm would not be able to meet its objectives in an efficient manner.

The various policies like monetary policy, fiscal policy, credit policy influence the corporate policy of the firm.

(iv) Social Environment

The firm affects various sections of the society. The various sections in turn influence the activities of the firm. The social beliefs of the managers influence policies. The religious, cultural and ethnic dimensions have to be dealt with while formulating policies of an organization.

(v) Technology

Every now and then, new technologies are entering the market. An organization has to change with the changes in the environment. It has to remain up to date with respect to technology it uses. Thus technology also plays an important role in formulation of corporate policy.

2.5 SCOPE OF CORPORATE POLICY

Corporate policies are statements of guidelines for corporate thinking and action. They lay down the approach before the management to deal with the challenges in the environment. They cover the following broad areas that affect the decisions of the organization.

- (i) Corporate policy consists of a variety of subject that affects various interest groups in the organization and outside it.
- (ii) Corporate policy is concerned with the various functional areas like production, human resources, marketing and finance.
- (iii) We can understand corporate policy areas in two broad categories: Major and minor policies. The overall objectives, procedures and control are covered in major policies. These policies are concerned with each and every aspect of the organization, its structure, its financial status, its production stature, its human resources and all those issues which require attention like mergers, research, expansion, etc. Basically, the top management is involved in the framing of such major policies. Further, the operations and activities are also carried out by executives so that the organizational objectives are met.

The minor policies are concerned with each segment of the organization with emphasis on details and procedures. These policies are part of the major policies. The operational control can be made possible only if the minor policies are implemented efficiently. The minor policies are concerned with the day to day operations and are decided at the departmental levels. The minor policies may cover relations with dealers, discount rates, terms of credit, etc. Thus, corporate policies cover wide range of subjects ranging from operational level policies to the top level policies.

Activity 1

1. “Policy and Strategy are synonyms to each other.” Comment.

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2. What are the determinants of corporate policy?

2.6 POLICY FORMULATION PROCESS

A corporate policy is formulated by the top management. The formulation comprises step wise procedure. The process is similar to the decision making process and requires analysis, judgment and experience. The steps involved in the process are:

- (i) Environmental analysis
- (ii) Identification of policy alternatives
- (iii) Evaluation of alternatives
- (iv) Choice of policy

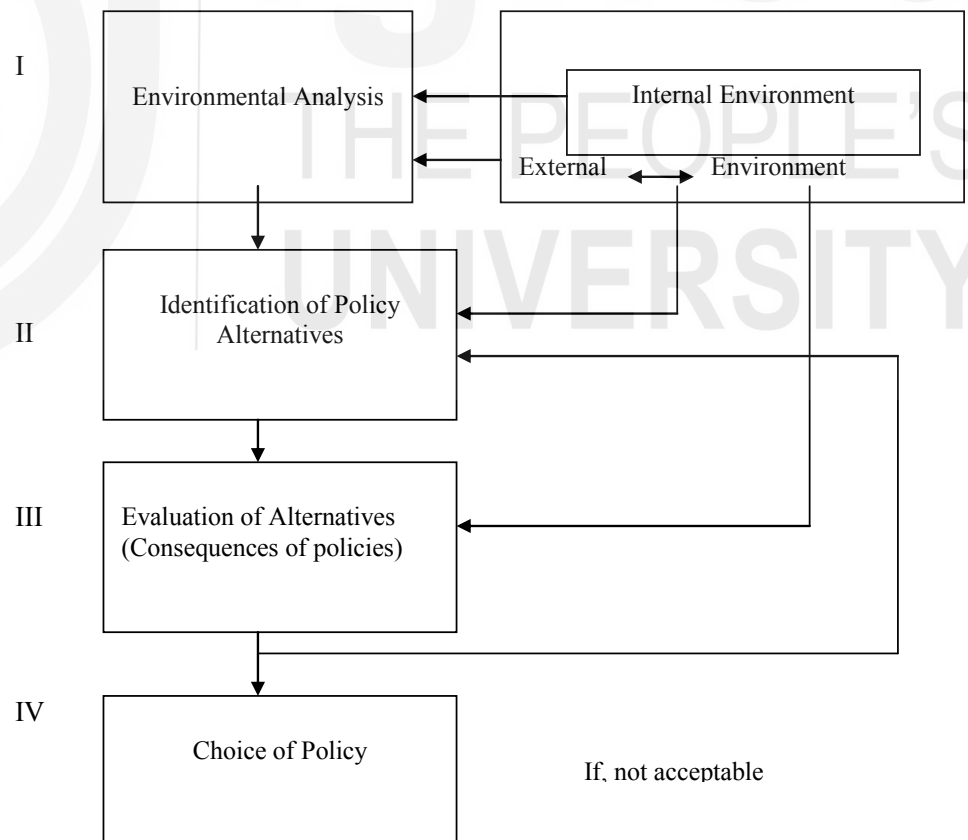


Figure 2.1: Policy Formulation Process

i) Environmental Analysis

The first step in the process of policy formulation is environmental analysis. There are basically two environmental factors: internal and external. The external environment of the company comprises of economic, technological, political and social forces operating outside the boundaries of the company. These influence the company indirectly and the company has no control over them. These have to be continuously analyzed and understood before the formulation of policies.

The internal environment of the organization comprises of the firm's employees, the organization structure, resources, value system, functional departments, etc. These affect the organization's activities directly as they are internal to the organization.

Both internal and external forces interact and a change in one affects the other. The two together provide for identification of problem areas with respect to which the policies could be made.

ii) Identification of Policy Alternatives

Once the analysis has been done, the next step requires identification of policy alternatives. The environmental analysis helps to determine the opportunities and threats facing the company and also its strengths and weaknesses. When the organization is engaged in the matching of its strengths with the opportunities, various policy options emerge. The options or alternatives also arise with the help of past experience, past performance results and the practices followed by the management. Identification of alternatives has to be done efficiently and then only can they be evaluated for one choice.

iii) Evaluation of Policy Alternatives

After the various alternatives have been identified, they are to be evaluated so that the best one could be selected. The evaluation of policies is known as policy audit. The alternatives can be evaluated on the basis of their consequences in terms of their contribution to corporate goals. Several criteria could be used for evaluation like growth, unit, profitability, development, meeting of organizational goals etc. The evaluation has to be done with care so that errors may not occur. Policy should not only be feasible but it should also be consistent with organization's goals.

iv) Choice of Policy

The last step in the policy formulation process is the choice of the best alternative from among the various alternatives identified and evaluated. The evaluation helps in the selection of the best possible policy. If any of the alternatives are not acceptable and not consistent with company's objectives then the process reverts back to the identification of alternatives where fresh alternatives are looked for. The search begins again.

The various alternatives are compared with each other and the most preferred option is selected. This selected policy has to be tested so

that it could be known whether it fits in the organizational boundaries and meets the organizational goals. After being successfully tested, the policy becomes ready for implementation and the manner in which it would be implemented should be explained clearly.

After the policy has been made, it becomes necessary to review it from time to time so that it does not become obsolete.

Activity 2

1. Discuss environmental analysis aspect in strategy formulation.

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2. Discuss the fourth step in policy formulation process.

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2.7 CLASSIFICATION OF CORPORATE POLICY

Corporate policies have been classified on the basis of various criteria. Over the years, the number of bases have changed and developed.

Basically there are three main types of policies:

- Basic Policies
- General Policies
- Departmental Policies

Different authors have given different kinds of classifications. Some have classified policies on the basis of functional areas, while some have classified them on the basis of levels. Alfred and Beatty have classified policies as:

- Top Management Policies
- Upper Middle Management Policies
- Middle Management Policies
- Foremen Policies
- Operating Force Policies
- Sales Policies
- Production Policies
- Research Policies
- Financial Policies
- Costing Policies
- Accounting Policies
- Marketing Policies
- Promotion Policies
- Product Policies

To make the study easier, the policies have been classified differently in figure 2.2 given below.

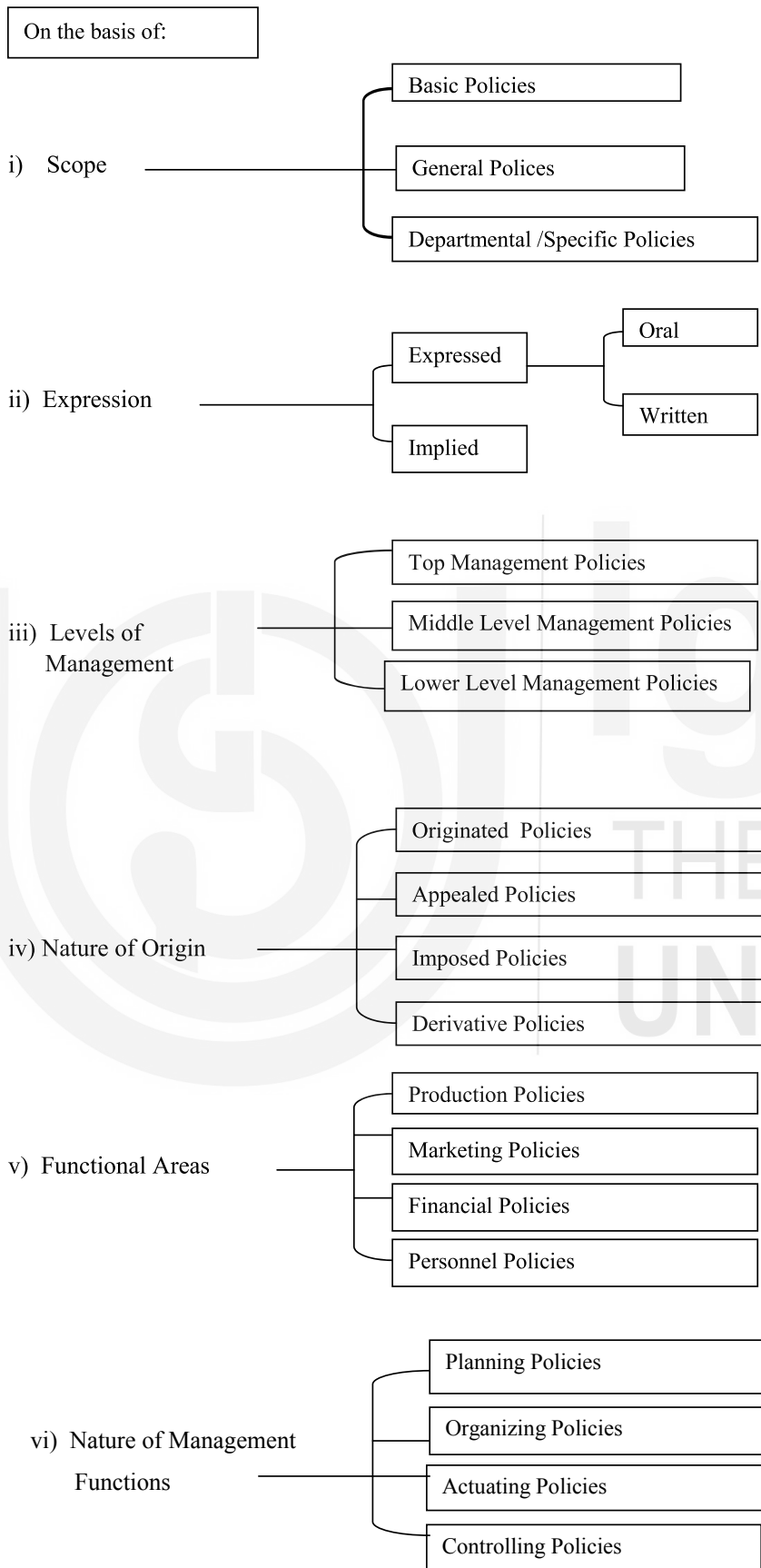


Figure 2.2 Classification of Policies

i) Classification on the basis of Scope

On the basis of scope of an organization, policies are classified as Basic Policies, General Policies and Departmental or Specific Policies.

- **Basic Policies-** These are framed by the top management and spell out the basic approach of a company to its activities and its environment.
- **General Policies-** These are framed by the middle level management and are more specific. They apply to large segments of the organization.
- **Specific Policies-** These are framed by the foremen and supervisors and are very specific in nature. They are applicable to routine activities.

ii) Classification on the basis of Expression

On the basis of expression, corporate policies can either be expressed or implied.

- **Expressed Policies-** The policies which are expressed in clear words either orally or in writing are the expressed policies. These are most suitable for small organizations.
- **Implied Policies-** The Policies which are understood by the employees, code of conduct or behavior and are not expressed orally or through written statements are known as implied policies. They flow from philosophy, values and traditions of the organization.

iii) Classification on the basis of Level

Different policies are framed at different levels of management. These include:

- **Top Management Policies-**These are framed by the top management and it is only responsible for them. The policies are derived from top management planning and top management sees that they are put into effect and judges the results.
- **Middle Level Management Policies-**These are laid down by the middle level managers and deal with the organizational activities e.g. selection of executives, employee training, deciding processes, methods, techniques, etc.
- **Lower Level Management Policies-** Those people who have direct control over the working force comprise the lower level management. These people set up policies with respect to the accomplishment of tasks of sub divisions of the organizations.

iv) Classification on the basis of Origin

On the basis of origin, policies are classified as original policies, appealed policies, imposed policies and derivative policies.

Original Policies: These policies are formed from the company objectives. These are formed by the top management and the top management is responsible for guiding and directing them and the subordinates are responsible in the attainment of organization objectives.

Appealed Policies: These are also called “suggested policies” because they are made by taking into account the suggestions of subordinates or people who implement these policies.

Imposed Policies: External forces sometimes force the company to accept certain policies forcibly. These policies are called imposed policies. The external forces could include government rules and suggestions, arguments with trade unions, etc.

Derivative Policies: These policies are operational in nature and are derived from company’s major policies. They are made as guidelines to perform day to day operations.

v) **Classification on the basis of Functional Areas**

In an organization various, functional areas are seen. The policies are classified according to functional areas i.e. production policies, marketing and sales policies, financial policies and personnel policies.

Production Policies- These policies are concerned with product to be produced, type of technology, equipment, selection of plant layout, location and size, manufacturing cost, inventory control, quality control, etc.

Marketing & Sales Policies- The policies which relate to policies in market analysis, business law, salesmanship, advertising are concerned with total process of marketing mix and product mix. These include decisions with respect to customers, channels of distribution, dealers, sales control, promotions, etc.

Financial Policies- The success of business depends upon these policies. These consist of policies with respect to capital structure, methods of raising funds, the utilization of funds, credit policy, dividend decisions, profit policy, costing and accounting policy, etc.

Personnel Policies- Employees are very important for the organization and the personnel policies are concerned with issues like recruitment, selection, training and development, promotions and transfer, wages and incentives, etc.

vi) **Classification of Policies on the basis of Nature of Management**

The main functions of an organization comprise of planning, organizing, actuating and controlling. The policies may therefore be classified as planning policies, organizing policies, actuating policies and controlling policies.

Planning Policies- These policies are concerned with the determination of ways to attain the objectives of the organization. Such policies decide corporate objectives, alternative courses of action, comparison of alternatives, establishment of budgets, schedules, procedures etc.

Organizing Policies- These policies are concerned with allocation of activities to members of the group so that through their collective efforts, objectives could be achieved. These are those policies which provide for issues like organization structure, authority, responsibility, delegation, centralization and various relationships.

Actuating Policies- The actuating policies include providing leadership, integrating tasks, communication and organization climate. These policies are concerned with organizing the employees of the organization.

Controlling Policies- Controlling is the process by which the performance is compared with the set objectives. These policies provide for establishment of standards, pointing out deviations, ascertaining causes for deviation and taking corrective actions.

2.8 IMPORTANCE OF CORPORATE POLICY

For effective management, the solving of day to day problems is not enough. What is required is the proper assessment of all kinds of activities and operations taking place in the organization. After the assessment, they are to be defined in clear cut way, so that objectives could be met. For definition of the business activities and their efficient implementation, the selection and application of policies is required. Without a guiding light, it would become very difficult for the business to go on and policies act as guide and facilitate the manager to direct all the activities towards the same goal.

- Policies are needed to carry out the business activities in a smooth manner.
- They provide clear cut courses for attainment of business objectives.
- If a proper explicit policy has been formulated, many of the details could be conveniently handled by the subordinates and management would not unnecessarily waste its time and energy in doing them.
- Policies provide a guide and framework for decision making.
- Policies encourage delegation of the power of decision making.
- Good policies provide a direction in which all management activities are focused.
- Policies provide stability to the action of the members of the firm.
- Policies deter the subordinates to rethink on the day to day issues and thus avoid repetitive analysis of issues.
- Policies facilitate evaluation of performance by acting as a standard.
- They enhance employee's enthusiasm and loyalty for the organization.
- They help in solving the problems for optimum utilization of scarce resources.
- The sound policies help in building good public image of the business.
- Policies provide the firm with clear objectives with which the managers can decide about the future course of action.
- They act as tool for coordination and control.

Thus, corporate policy is very important for an organization and helps in the overall development and growth. A sound policy provides satisfaction to the employees in terms of working conditions, culture, authority, responsibility and relationships.

1. Distinguish between expressed and implied policies.

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2. Explain functional policies in brief. Explain the Derivative policies.

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3. State the importance of corporate policy.

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2.9 SUMMARY

Corporate policy is the guideline which helps the management to carry out its activities in an efficient and effective manner so that the objectives of the organization are met. However, there are different views with regard to definition of corporate policy. The features of corporate policy include general statement of principles, long term perspective, achievement of objectives, qualitative, conditional and general statements, guide for repetitive operations, helps in decision making process, provides a unified structure and helps to determine a positive declaration for its followers. The determinants of corporate policy include internal and external determinants. The scope of corporate policy is very broad and consists of variety of subjects that affect various internal groups in the organization. The formulation of corporate policy is very important and facilitate the managers to achieve goals. The process of corporate policy formulation include four steps- environmental analysis, identification of alternatives, evaluation of alternatives and choice of corporate policy. Policies are classified on the basis of various criteria - scope, expression, level of management, nature of origin, functional areas and nature of management functions. Policies have an important role to play in organizations.

2.10 KEY WORDS

Corporate Policy: Management's expressed or implied intent to govern action in the pursuit of the company's objectives.

Internal Determinants: The internal factors which influence the policy formulation of a firm.

External Determinants: The external factors which influence the policy formulation of a firm.

Actuating Policies: The actuating policies include providing leadership, integrating tasks, communication and organization climate. These policies are concerned with organizing the employees of the organization.

Appealed Policies: These are also called “suggested policies” because they are made by taking into account the suggestions of subordinates or people who implement these policies.

Derivative Policies: These policies are operational in nature and are derived from company’s major policies. They are made as guidelines to perform day to day operations.

Implied Policies: The policies which are understood by the employees code of conduct or behavior and are not expressed orally or through written statements are known as implied policies. They flow from philosophy, values and traditions of the organization.

2.11 SELF-ASSESSMENT QUESTIONS

1. What do you mean by corporate policy? What are the different views with respect to corporate policy?
2. Discuss the features of corporate policy. What are the essentials of an effective corporate policy?
3. How is corporate policy formulated? Describe with the help of a diagram.
4. In today’s changing scenario, what is the importance of framing a corporate policy?
5. How is corporate policy classified? What are the various kinds of corporate policy?
6. Select an organization of your choice and name various types of policies it had adopted.

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